Three Assumptions Families Make About a Parent's House and Savings

What each one looks like, why it happens, and the question to ask in place of it.

Most families planning ahead carry the same three assumptions about a parent's house and savings. They come from caring about what Dad built, and each one turns into a question quite easily.

1 Assuming it would all go to the cost of care

WHAT IT LOOKS LIKE Long-term care comes up at Sunday dinner, because of a friend of Dad's or something in the news, and somebody says, “Well, that would be the end of the savings.” Nobody argues, and the subject changes.

WHY IT HAPPENS It comes from caring about what Dad spent a lifetime building, and from having nothing firmer to go on. But a home, savings, retirement accounts and insurance may not all be treated the same way under Medicaid rules, and eligibility rules vary from state to state. A sentence about “everything” is covering a lot of different things at once. [1]

> **WHAT TO DO INSTEAD** Put the assumption down as a question: “What might Dad be able to keep, in his state and his situation?” Then make the thing that question needs, a dated list of what he owns and whose name is on each item, and take both to your Medicaid planner.

2 Assuming the house is already settled, one way or the other

WHAT IT LOOKS LIKE “The house is safe, everybody knows that.” Or the opposite: “The house would have to go.” Either one gets said with confidence, usually by someone who heard it from someone else, and the family starts to treat it as known.

WHY IT HAPPENS The house is what families care about most, so it's what they most want settled. The National Council on Aging says many older adults and caregivers worry about it. But how a home is looked at depends on who owns it, who lives in it, the family's circumstances and the state, and plenty of families couldn't say offhand whose name is on the deed. [2]

> **WHAT TO DO INSTEAD** Ask it as a question: “How would Dad's house be looked at in his state, given who owns it and who lives there?” Before you ask, find the deed, copy the names exactly as printed, and write down who lives in the house. Bring that to your Medicaid planner. The legal parts of the answer belong to an elder law attorney.

3 Treating qualifying for Medicaid and what comes later as one question

WHAT IT LOOKS LIKE Someone reads an article about qualifying for Medicaid and takes it as the last word on the house. Someone else reads about estate recovery and decides Medicaid isn't worth thinking about. One answer gets stretched to cover both.

WHY IT HAPPENS Both come up in the same conversations and use the same words: the house, the savings. But they are different subjects. Estate recovery, as KFF describes it, is the recovery of certain Medicaid costs after an enrollee dies, and Justice in Aging notes that it occurs only after the death of the person who received Medicaid. Whether a person may qualify is a separate matter.[3] [4]

> **WHAT TO DO INSTEAD** Ask two questions in place of one: “How might the rules for qualifying apply to Dad?” and “What does estate recovery look like in his state?” The first goes to your Medicaid planner. The second is a legal question, and it goes to an elder law attorney.

The one habit behind all three

Write the assumption down as a question, put a date on it, and take it to someone who knows Dad's state and his situation. While it's still a question, nothing needs to change.

What this guide doesn't do

It doesn't tell you what Dad can keep, how his house would be treated or what estate recovery would mean for your family, and it isn't legal, financial or tax advice. It names three assumptions, which are the same three the Medicaid Planning Roadmap sees at this step.

Ready for the next step?

You know which three assumptions to set down, and the question to ask in place of each. The planning interview gives you something to bring when you ask: it goes through your family's situation step by step and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

That eligibility rules vary from state to state follows the federal long-term care site. The observation that the worry about the home is common is the National Council on Aging's. The descriptions of estate recovery are KFF's and Justice in Aging's. The three assumptions are the Medicaid Planning Roadmap's own.

1. Administration for Community Living (LongTermCare information), Medicaid
2. National Council on Aging, What Is Medicaid Estate Recovery? And How Does It Work?
3. KFF, What is Medicaid Estate Recovery?
4. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates

---